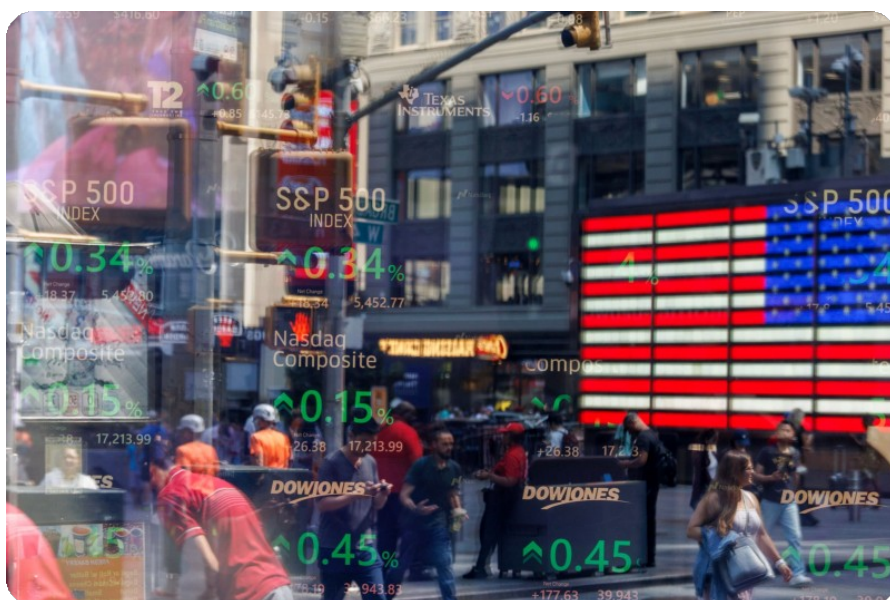


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RATES

Rates Spark: Geopolitics in focus ahead of US CPI

Rates remain range-bound as markets watch geopolitics and await Wednesday's key US CPI print. Softer inflation could pull yields lower, while Bunds offer a limited geopolitical hedge; Gilts look too high but are hard to trade amid oil volatility



All eyes are on this Wednesday's US CPI release following last week's poor payroll numbers

Everything hinges on two more US CPI readings

US rates ended last week with a dovish aftertaste on the back of poor payroll numbers, but the CPI figure this week should be more instrumental. Until September's Federal Reserve meeting, we only have two more CPI readings. And markets still need to make up their minds about the next Fed move, with now around 40% of a hike priced in. Arguably, the eventual price action after the negative payrolls numbers was quite limited given the disappointing figures, suggesting the focus is on inflation.

A benign CPI could help ease fears about Fed Chair Kevin Warsh turning the central bank overly dovish, which should also bring longer rates lower too. Having said that, long-term inflation expectations as measured from 5Y5Y forward inflation swaps look very benign. In fact, the trading range is well below the average in 2025 – and while oil prices have risen significantly since. Real rates are therefore the main culprit behind higher UST yields. Having said that,

softer inflation numbers can also spill over to lower real rates. Falling inflation would imply that the neutral rate might be lower than the 4% currently priced in by markets.

Bunds are not the place to hide against geopolitical risks

The 10Y Bund yield seems comfortable in the 3.1% to 3.2% trading range, and unless oil makes a big move from here, we doubt we will see much movement. Despite plenty of geopolitical uncertainty ahead, Bunds don't show any signs of safe haven demand. Only at the very start of the Iran conflict in March did we observe a more noticeable outperformance of Bunds versus swaps, but those dynamics haven't been seen recently. Part of this might also be explained by strong market sentiment in risk assets. And with stock-bond correlations in positive territory, holding longer-dated rates does not provide a trustworthy hedge against adversaries. If anything, an improving growth outlook actually poses more upside risk to euro rates.

Gilt yields too high, but impossible to trade amid oil volatility

The 10Y Gilt yield also seems to stay range-bound, oscillating around 4.8% and 5.0% for most of the past few months, but we take a more bullish view on sterling rates. Markets are still pricing in almost two rate hikes from the Bank of England. What's more remarkable is that thereafter the curve doesn't price in a material easing cycle. The 2Y1Y forward is at 4.25%, suggesting an estimated neutral rate far above the US. But given that the UK's potential growth is materially lower, we don't think such numbers are justified. Unfortunately, trading this remains challenging, since any move in oil prices can quickly turn any dovish position into a loss.

Monday's events and market view

The data calendar holds little of note at the start of the week, leaving the focus squarely on geopolitical developments. Some headlines suggested a deal to reopen the Strait of Hormuz was close, but the overall reporting from the region points to a still fragile de-escalation path, with Brent oil briefly nearing US\$85/bbl overnight.

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